

KSA Capital Markets & Healthcare PE — 2026 Outlook

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Prepared by Mizan Office of Strategy + Group Research for use within Mizan Group strategic planning. Sourced from public-domain statistics, sell-side and industry research, and Mizan internal proprietary data. Not for redistribution.

Financial deepening sustained; healthcare-PE activity rising

The KSA financial services market is sized at SAR 95B in 2026, growing 10.5% YoY. PIF asset growth, sukuk issuance volumes, and the IPO pipeline are the three structural demand engines. Healthcare-PE activity is rising; Jadwa and regional sovereign-PE funds increasingly active.

Banking margins benefit from elevated SAIBOR — 5.05% 3M today, drifting to 4.65% by 2028. Net interest margins compress modestly. Investment banking activity is supported by IPO pipeline and PIF deal flow.

Mizan Capital is healthcare-PE-focused — distinct from the bank-affiliated tier (SNB Capital, Al Rajhi Capital, Riyad Capital). The sustainability-linked sukuk programme planned H2-2026 is the strategic capability addition.

MARKET 2026F

SAR 95B

+10.5% YoY

SAIBOR 3M

5.05%

drifting down

TADAWUL YTD

+12%

vs 2025 close

HEALTHCARE-PE DEALS

+24% YoY

2026 to date

KSA financial services market through 2028

Sized at **SAR 95B** in 2026 forecast, the market is growing at **10.5%** for the year and a projected **10.5%** in 2027 onward.

	2024A	2025A	2026F	2027F	2028F
Market size (SAR B)	78	86	95	105	115
YoY growth %	+8.0%	+10.3%	+10.5%	+10.5%	+9.5%

Structural demand drivers

Sukuk issuance volumes; CMA-led market deepening; healthcare-sector PE expansion; insurance penetration; PIF asset-allocation knock-on to KSA capital markets.

Cyclical / near-term factors

- Fed cut path: 2 cuts H2-2026 expected, mirrored by SAMA.
- Sukuk issuance pipeline robust — corporate + sovereign.
- IPO pipeline 14 named candidates 2026-2027 including healthcare.
- Banking NPL coverage 168% — well-provisioned.

The named players in KSA financial services

#	Player	2025 Rev (SAR M)	EBITDA % 2025	Notes
1	SNB Capital	3,280	52.0%	Largest local IB; SNB-owned; healthcare coverage.
2	Al Rajhi Capital	1,640	48.0%	Al Rajhi Bank owned.
3	Jadwa Investment	740	42.0%	Independent; healthcare-PE-strong.
4	GIB Capital	520	40.0%	Gulf International Bank arm.
5	EFG-Hermes KSA	420	36.0%	Egypt-HQ; regional capital markets.

Competitive dynamics — our reading

SNB Capital, Al Rajhi Capital and Riyad Capital are the bank-affiliated tier — distribution-led, scale-driven.

Jadwa Investment is the independent alternative-assets + healthcare-PE specialist — closest direct competitor for Mizan Capital's healthcare-PE book.

EFG-Hermes KSA is the pan-regional capital-markets specialist; GIB Capital another regional player.

Mizan Capital is sub-scale relative to bank-affiliated tier but specialised — healthcare-PE + group treasury optimisation. Not competing for client business with the major IBs.

Who regulates what, and what's changing

Saudi Central Bank (SAMA); Capital Market Authority (CMA); Saudi Insurance Authority.

CMA market-deepening reforms ongoing — short selling, derivatives, REIT framework.

SAMA macroprudential focus; capital adequacy above Basel III.

Saudi Insurance Authority (newly consolidated) tightening insurance solvency.

Sustainability-linked sukuk framework formalised — Mizan early issuer category.

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Programme exposure and demand pull

Financial Sector Development Program · Saudi Sukuk Programme · Sustainability-linked finance.

Financial Sector Development Program.

Saudi Sukuk Programme — sovereign + corporate growth.

Vision 2030 Financial Hub — Riyadh.

What could break the outlook

Rate environment surprise

Softer-than-expected Fed cut path. SAR peg compresses NIM but supports stability.

Healthcare-PE bid competition

Jadwa + Liwa + Nuwa increasingly active. Pricing pressure on healthcare deals.

Sustainability-linked sukuk pricing

Investor appetite for KPI-linked structures growing. Mizan well-positioned given Saudi-Made + cold-chain integrity KPIs.

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What this means for our portfolio

Sustainability-linked sukuk H2-2026 (SAR 600M, KPI-linked to Saudi-Made pharma share + cold-chain integrity) lengthens debt maturity.

Capital recycling envelope SAR 680M cumulative through 2028 — manufacturing refinancing closed May-2026 is the template.

Healthcare-PE pipeline includes specialty manufacturer + digital-health platform + regional pharmacy chain — three pre-screened opportunities.

Listing-readiness diagnostic Q4-2026 for any 2028 partial-IPO optionality.